

The Five Major Accounts – Assets, Liabilities, Equity, Income, and Expenses

Every business transaction affects at least two accounts. But what exactly are these accounts? An account is a record that tracks increases and decreases in a specific asset, liability, equity, revenue, or expense. Understanding the five major types of accounts is essential because every financial transaction – from buying inventory to paying rent to collecting cash from customers – is recorded in one of these categories. Without knowing which account to use, accounting becomes guesswork. This lesson builds on the foundation of accounting concepts and principles by introducing the actual accounts that appear on financial statements.

This reading material distinguishes the five major accounts: assets, liabilities, owner's equity, income, and expenses. It also explains the classification of accounts into real accounts (permanent) and nominal accounts (temporary).

Part 1: The Five Major Accounts

All accounts used in accounting fall into five major categories. Each category answers a different question about the business.

Account Type	The Question It Answers
Assets	What does the business own?
Liabilities	What does the business owe?
Owner's Equity	What is the owner's claim on the business?
Income (Revenue)	How much did the business earn from selling goods or services?

Account Type The Question It Answers

Expenses How much did the business spend to earn that income?

These five categories are connected by the fundamental accounting equation:

Assets = Liabilities + Owner's Equity

Income increases owner's equity. Expenses decrease owner's equity. Understanding this relationship is the key to double-entry bookkeeping.

Debit and Credit: Left Side, Right Side – Not Increase or Decrease

Two terms that accounting students often find confusing are "debit" and "credit." In everyday banking, a debit decreases your bank balance, and a credit increases it. In accounting, however, these terms have a different meaning. They do not mean increase or decrease at all.

In accounting, **debit** (Dr.) simply means the left side of an account. **Credit** (Cr.) simply means the right side of an account. Whether a debit increases or decreases an account depends entirely on what type of account it is.

Normal Balances: Which Side Increases the Account

Account Type	Normal Balance	A Debit (Left Side)...	A Credit (Right Side)...
Asset	Debit (left)	Increases the account	Decreases the account
Liability	Credit (right)	Decreases the account	Increases the account
Owner's Equity	Credit (right)	Decreases the account	Increases the account
Income (Revenue)	Credit (right)	Decreases the account	Increases the account
Expense	Debit (left)	Increases the account	Decreases the account

Any Account Can Receive Either a Debit or a Credit

Every type of account can experience both debits and credits. An asset receives a debit when it increases and a credit when it decreases. A liability receives a credit when it increases and a debit when it decreases. No account receives only one side.

The Banking Confusion Explained

Why does your bank statement show a debit when you spend money? The bank is recording from its perspective. Your deposit is a liability to the bank. When you spend, that liability decreases, so the bank debits its liability account. In your own books, cash is an asset. Spending cash decreases your asset, which is recorded as a credit.

The One Absolute Rule

Regardless of account types, one rule never changes:

Total Debits must always equal Total Credits for every transaction.

Assets

Definition: Assets are resources controlled by the business as a result of past transactions and events, from which future economic benefits are expected to flow to the business.

In simpler terms: Assets are what the business owns or controls that have value.

Classification of Assets

Assets are classified into two main categories: current assets and non-current assets.

Classification	Definition	Time Frame
Current assets	Assets expected to be converted to cash, sold, or consumed within one year or within the normal operating cycle	Short-term (less than 1 year)
Non-current	Assets that will provide economic benefits for more	Long-term (more

Classification	Definition	Time Frame
assets	than one year	than 1 year)

Examples of Current Assets

Account	Description	Example
Cash	Money on hand (currency) and in bank accounts	Cash in register, cash in bank
Accounts Receivable	Amounts owed to the business by customers who bought on credit	Customer promised to pay in 30 days
Inventory	Goods held for sale in the normal course of business	Merchandise on shelves, raw materials, work-in-progress
Prepaid Expenses	Expenses paid in advance before the benefit is received	Prepaid rent, prepaid insurance
Supplies	Office or operating supplies not yet used	Pens, paper, cleaning supplies

Examples of Non-Current Assets

Account	Description	Example
Property, Plant, and Equipment (PPE)	Long-term tangible assets used in operations	Land, building, machinery, vehicles, furniture, computers
Accumulated Depreciation	Contra-asset account that reduces PPE for wear and tear	Accumulated depreciation of equipment over 5 years
Intangible Assets	Long-term assets without physical substance	Patents, copyrights, trademarks, goodwill

Account	Description	Example
Long-term Investments	Investments intended to be held for more than one year	Stocks of other companies held for strategic purposes

Key Points About Assets

- Assets appear on the balance sheet (statement of financial position)
 - Assets have a normal debit balance (increases are recorded as debits)
 - Assets are "real accounts" (permanent) – their balances carry forward to the next accounting period
-

Liabilities

Definition: Liabilities are present obligations of the business arising from past transactions or events, the settlement of which is expected to result in an outflow of economic resources.

In simpler terms: Liabilities are what the business owes to others.

Classification of Liabilities

Liabilities are classified into two main categories: current liabilities and non-current liabilities.

Classification	Definition	Time Frame
Current liabilities	Obligations expected to be settled within one year or within the normal operating cycle	Short-term (less than 1 year)
Non-current liabilities	Obligations that will be settled beyond one year	Long-term (more than 1 year)

Examples of Current Liabilities

Account	Description	Example
Accounts Payable	Amounts owed to suppliers for goods or services purchased on credit	Business bought inventory on credit; must pay supplier in 30 days
Salaries Payable	Wages and salaries earned by employees but not yet paid	December salaries paid in January
Utilities Payable	Electricity, water, and other utility bills incurred but not yet paid	December electricity bill paid in January
Taxes Payable	Income tax, VAT, or other taxes owed but not yet paid	Income tax for the year filed and paid next year
Unearned Revenue	Cash received in advance before the service is performed or goods are delivered	Customer paid for a 12-month gym membership upfront
Short-term Loans	Bank loans or borrowings due within one year	Bank overdraft, 6-month loan

Examples of Non-Current Liabilities

Account	Description	Example
Long-term Loans Payable	Bank loans or borrowings due after more than one year	5-year bank loan for equipment purchase
Bonds Payable	Debt securities issued to investors that mature in more than one year	Corporation issued 10-year bonds
Mortgage Payable	Long-term loan secured by real estate (land or building)	15-year mortgage on company building

Key Points About Liabilities

- Liabilities appear on the balance sheet (statement of financial position)
 - Liabilities have a normal credit balance (increases are recorded as credits)
 - Liabilities are "real accounts" (permanent) – their balances carry forward to the next accounting period
-

Owner's Equity

Definition: Owner's equity is the residual interest in the assets of the business after deducting all liabilities. It represents the owner's claim on the business's assets.

In simpler terms: Owner's equity is what the owner would have left if all assets were sold and all liabilities were paid. Here's the accounting equation restated:

$$\text{Assets} - \text{Liabilities} = \text{Owner's Equity}$$

Components of Owner's Equity

Component	Description	Effect on Equity
Owner's Capital	Owner's initial and additional investments in the business	Increases
Owner's Withdrawals (Drawings)	Assets taken by the owner for personal use (not salary)	Decreases
Income (Revenue)	Earnings from selling goods or services	Increases
Expenses	Costs incurred to earn income	Decreases

Relationship Between Income, Expenses, and Equity

Net Income = Income – Expenses

If Income exceeds Expenses, the business has a net profit, which increases Owner's Equity.

If Expenses exceed Income, the business has a net loss, which decreases Owner's Equity.

Examples of Owner's Equity Accounts

Account	Description	Example
Owner's Capital	Permanent account tracking the owner's total investment	J. Reyes, Capital
Owner's Drawings	Temporary account tracking withdrawals by the owner	J. Reyes, Drawings
Retained Earnings (for corporations)	Accumulated profits not distributed to shareholders	Retained Earnings

Key Points About Owner's Equity

- Owner's equity appears on the balance sheet (statement of financial position)
 - Owner's equity has a normal credit balance (increases are recorded as credits; withdrawals have a debit balance)
 - Owner's capital is a "real account" (permanent). Income, expenses, and drawings are "nominal accounts" (temporary) – they are closed to capital at the end of the period.
-

Income (Revenue)

Definition: Income is the increase in economic benefits during the accounting period in the form of inflows of assets or decreases in liabilities that result in an increase in owner's equity, other than contributions from the owner.

In simpler terms: Income is what the business earns from selling goods or providing services.

Characteristics of Income

- Income increases owner's equity
- Income arises from the primary operations of the business
- Income does not include owner investments (those increase equity directly, but are not income)

Examples of Income Accounts

Account	Description	Example Business
Service Revenue	Income from providing services to customers	Law firm, salon, repair shop
Sales Revenue	Income from selling goods (merchandise)	Retail store, grocery, online shop
Rent Income	Income from renting out property owned by the business	Landlord, business subleasing space
Interest Income	Income from lending money or from bank deposits	Bank deposits, loans to others
Commission Income	Income from facilitating sales for another party	Real estate agent, sales agent

Key Points About Income

- Income appears on the income statement (statement of profit or loss)
- Income has a normal credit balance (increases are recorded as credits)
- Income is a "nominal account" (temporary) – its balance is closed to owner's equity at the end of the period

Expenses

Definition: Expenses are decreases in economic benefits during the accounting period in the form of outflows of assets or incurrences of liabilities that result in a decrease in owner's equity, other than distributions to the owner.

In simpler terms: Expenses are the costs incurred to earn income.

Characteristics of Expenses

- Expenses decrease owner's equity
- Expenses arise from the ordinary operations of the business
- Expenses do not include owner withdrawals (those also decrease equity but are not expenses)

Examples of Expense Accounts

Account	Description	Example
Cost of Goods Sold (COGS)	Direct cost of inventory sold during the period	Cost of merchandise purchased for resale
Salaries Expense	Payments to employees for their work	Monthly payroll for staff
Rent Expense	Cost of renting space for business operations	Monthly rent for store or office
Utilities Expense	Cost of electricity, water, internet, phone	Monthly electric bill
Supplies Expense	Cost of supplies consumed during the period	Paper, ink, cleaning supplies used
Advertising Expense	Cost of promoting products or services	Social media ads, billboards, print ads

Account	Description	Example
Depreciation Expense	Allocation of the cost of PPE over its useful life	Annual depreciation of equipment
Insurance Expense	Cost of insurance coverage for the period	Monthly portion of annual insurance premium
Transportation Expense	Cost of delivering goods or business travel	Fuel, shipping fees, fares
Repairs and Maintenance	Cost of maintaining equipment and facilities	Fixing a broken machine, painting the store
Taxes and Licenses	Business taxes, permits, and regulatory fees	Mayor's permit, annual registration fee

Key Points About Expenses

- Expenses appear on the income statement (statement of profit or loss)
- Expenses have a normal debit balance (increases are recorded as debits)
- Expenses are "nominal accounts" (temporary) – their balances are closed to owner's equity at the end of the period

Part 2: Classification of Accounts – Real Accounts vs. Nominal Accounts

Accounts are classified into two main categories based on whether they are permanent or temporary. This distinction is important because it determines how accounts are treated at the end of an accounting period.

Real Accounts (Permanent Accounts)

Definition: Real accounts are accounts that appear on the balance sheet. Their balances are not closed at the end of the accounting period. Instead, they carry forward (roll over) to the next accounting period.

Characteristics of Real Accounts

Characteristic	Explanation
Also called	Permanent accounts
Where they appear	Balance sheet (statement of financial position)
Do they close at period end?	No – balances carry forward to the next period
Examples	All asset accounts, all liability accounts, owner's capital account

Why Real Accounts Are Not Closed

The balance sheet shows the financial position of the business at a specific point in time. The assets, liabilities, and capital of the business continue from one period to the next. For example, cash does not disappear at the end of the year. It remains in the bank account and appears on the next year's balance sheet.

Examples of Real Accounts

Category	Account Examples
Assets	Cash, Accounts Receivable, Inventory, Equipment, Building, Land
Liabilities	Accounts Payable, Salaries Payable, Loans Payable
Equity	Owner's Capital, Retained Earnings

Nominal Accounts (Temporary Accounts)

Definition: Nominal accounts are accounts that appear on the income statement. These accounts are only meant to measure financial performance for a single fiscal year or period. Their balances are closed (zeroed out) at the end of the accounting period and transferred to owner's equity.

Characteristics of Nominal Accounts

Characteristic	Explanation
Also called	Temporary accounts
Where they appear	Income statement (statement of profit or loss)
Do they close at period end?	Yes – balances are zeroed out and transferred to equity
Examples	All income accounts, all expense accounts, owner's drawings

Why Nominal Accounts Are Closed

The income statement shows performance over a specific period of time. Income and expenses from one period should not be mixed with those of the next period. Closing the accounts starts each new period with zero balances, so only the current period's transactions are recorded.

Examples of Nominal Accounts

Category	Account Examples
Income	Service Revenue, Sales Revenue, Rent Income, Interest Income
Expenses	Salaries Expense, Rent Expense, Utilities Expense, Supplies Expense
Drawings	Owner's Drawings (also temporary, but not on income statement – closed directly to capital)

Comparison of Real and Nominal Accounts

Aspect	Real Accounts	Nominal Accounts
Other name	Permanent accounts	Temporary accounts
Financial statement	Balance sheet	Income statement
Do they close at period end?	No (balances carry forward)	Yes (balances are zeroed out)
Types of accounts	Assets, Liabilities, Owner's Capital	Income, Expenses, Owner's Drawings
Normal balance	Assets = Debit; Liabilities = Credit; Capital = Credit	Income = Credit; Expenses = Debit; Drawings = Debit
What happens to balance	Rolls over to next period	Transferred (closed) to Owner's Capital

The Closing Process for Nominal Accounts

At the end of each accounting period, the following steps occur:

Step	Action
1	Close all income accounts to a temporary clearing account (Income Summary)
2	Close all expense accounts to Income Summary
3	Close Income Summary (the net income or loss) to Owner's Capital
4	Close Owner's Drawings directly to Owner's Capital

Result: All nominal accounts have zero balances, ready for the next period. The owner's capital account now reflects the net income (or loss) and any withdrawals made during the period.

Summary Table: The Five Major Accounts

Account Type	Definition	Normal Balance	Financial Statement	Real or Nominal?
Assets	Resources owned or controlled by the business	Debit	Balance sheet	Real (Permanent)
Liabilities	Obligations owed to others	Credit	Balance sheet	Real (Permanent)
Owner's Equity	Owner's claim on business assets	Credit	Balance sheet	Real (Permanent)
Income (Revenue)	Earnings from selling goods or services	Credit	Income statement	Nominal (Temporary)
Expenses	Costs incurred to earn income	Debit	Income statement	Nominal (Temporary)

Key Terms

Term	Definition
Asset	A resource controlled by the business that is expected to provide future economic benefits
Liability	An obligation of the business to transfer economic resources to another entity
Owner's equity	The residual interest in the assets after deducting liabilities
Income (Revenue)	Increase in economic benefits from ordinary business activities
Expense	Decrease in economic benefits from ordinary business activities
Current asset	Asset expected to be converted to cash or used within one year
Non-current asset	Asset that will provide benefits for more than one year
Current liability	Obligation expected to be settled within one year
Non-current liability	Obligation that will be settled beyond one year
Real account	Permanent account on the balance sheet; balances carry forward
Nominal account	Temporary account on the income statement; balances are closed

Review Questions

1. What are the five major types of accounts? For each type, state whether its normal balance is debit or credit.
2. Define assets. Give three examples of current assets and two examples of non-current assets.
3. Define liabilities. Give three examples of current liabilities and one example of a non-current liability.
4. What is the accounting equation? How are income and expenses related to owner's equity?
5. A business earns ₱500,000 in service revenue and incurs ₱300,000 in expenses. Does owner's equity increase or decrease? By how much?
6. What is the difference between a real account and a nominal account? Provide two examples of each.
7. Why are nominal accounts "closed" at the end of the accounting period? What happens to their balances?
8. Classify each of the following accounts as Asset, Liability, Owner's Equity, Income, or Expense:
 - (a) Cash
 - (b) Accounts Payable
 - (c) Service Revenue
 - (d) Salaries Expense
 - (e) Owner's Capital
 - (f) Inventory
 - (g) Loans Payable (due in 3 years)
 - (h) Rent Expense
 - (i) Accounts Receivable
 - (j) Unearned Revenue

9. For each account in question 8, state whether it is a real account or a nominal account.

10. Application question: A small business has the following balances at year-end: Cash ₱100,000; Inventory ₱50,000; Accounts Payable ₱30,000; Owner's Capital ₱80,000; Service Revenue ₱200,000; Salaries Expense ₱80,000; Rent Expense ₱40,000; Utilities Expense ₱20,000. Identify which accounts are real and which are nominal. Calculate the net income. After closing entries, what will be the new balance of Owner's Capital?